COLLABORATIVE QUANTITATIVE REVIEW & RECONCILIATION

NIFTY Intraday Options Strategies: Comparing Manual Trading Records with Mechanical Backtests

NOTE / TAKEAWAY: Dear Trading Partner & Strategy Creator,
This review has been prepared specifically for you to examine the mechanical backtesting results of your five NIFTY trading strategies (PDS, ORB, IRF, PDR, RF) alongside your original trading journal from September 2025 to August 2026. Our objective is completely constructive: to celebrate what works brilliantly, understand where discretionary decisions helped or hurt, and establish an evidence-based roadmap for systematic execution.

Executive Overview — What the Numbers Tell Us

Over the 12-month evaluation period across 246 trading sessions, your core strategy ideas proved to have a **statistically genuine market edge**. When translated into strict mechanical code with zero emotion, the strategies delivered **+1,608.90 net NIFTY index points** (+Rs. 104,578 modeled value per lot) with a 42.4% win rate and a 1.27 profit factor.

Three Headlines from Our Research

- **1. Your Core Ideas Work:** Mechanically following your rules without fear or hesitation generated steady, compounded gains across 12 months.
- **2. You Have a Hidden Super-Strategy:** PDS (Previous Day Support) was your most profitable strategy (+1,259.80 net points), but you only traded it 3 times!
- **3. Defensive Trailing Cost Money:** Moving stop-losses to Break-Even early saved a few losses, but cut short major winning runners, costing over +420 index points.

Summary of Your Original Strategy Rulebooks

We carefully studied your five original PDF strategy rulebooks. Here is how the computer codifies each setup:

Strategy	Setup Type	Trading Bias	Profit Target	Stop-Loss Level	Rulebook Status
PDS	Gap-down support retest rejection	Sell (Short)	Fixed 70 pts	35 or 40 pts	Exceptional Performer
ORB	09:20 opening range breakout	Buy & Sell	Fixed 60 pts	Fixed 30 pts	Strong Canonical Edge
IRF	Morning range failure & reversal	Sell (Short)	Fixed 60 pts	35 or 40 pts	Method 2 Outperforms
PDR	Gap-up resistance retest bounce	Buy (Long)	Fixed 70 pts	35 or 40 pts	Overfitting Warning
RF	False breakout level reclaim	Buy & Sell	60 pts (heuristic)	Fixed 35 pts	Unresolved Exit Rule

Strategy Execution Mechanics

- **PDS (Previous Day Support):** Trades when price gaps down below PDC, pulls up into yesterday's support zone (PDL to PDL+15), and prints a strong red rejection candle.
- **ORB (Opening Range Breakout):** Trades when the 09:15–09:20 candle breaks decisively above PDH (for Buy) or below PDL (for Sell) with trend alignment.
- **IRF (Initial Range Failure):** Trades when price pushes above the 09:15 high but fails and closes back down.
- **PDR (Previous Day Resistance):** Trades when price gaps up and bounces upward from yesterday's resistance zone (PDH to PDH-15).
- **RF (Range Failure / Reclaim):** Trades when price falsely breaks a key level and reclaims it within two bars.

Re-Examining Your Trading Journal in Detail

We performed a line-by-line audit of your Excel journal (Trading_Journal_Sep2025_Aug2026 REPORT.xlsx). Here are important discoveries you will find interesting and helpful:

- **Exact Trade Count:** Your workbook contains **190 numbered trades** (Sl Nos. 1 to 190). Your summary tab claimed 189 trades because of an off-by-one formula range that missed exactly one Target trade.
- **Outcome Distribution:** Across the 190 entries, you recorded **81 Target wins (42.6%)**, **65 Stop-Losses (34.2%)**, and **44 Break-Even exits (23.2%)**.
- **Saturday Non-Trading Entries:** Exactly **5 trades were recorded on Saturdays** (Sl Nos. 23, 82, 181, 185, 189). Because the NSE is closed on weekends, these were either weekend practice or date typos.
- **Heavy ORB & IRF Focus:** Together, ORB (89 trades) and IRF (73 trades) accounted for **85.3% of your entire journal**, while PDS had only 3 trades and PDR had 8.

Your Journal Breakdown by Strategy

Strategy	Total Recorded	Target Wins	Stop Losses	Break-Even	Proportion (%)
ORB	89	36	36	17	46.8%
IRF	73	31	21	21	38.4%
RF	17	6	8	3	8.9%
PDR	8	5	0	3	4.2%
PDS	3	3	0	0	1.6%
Total / Portfolio	190	81	65	44	100.0%

How Closely Did the Algorithm Match Your Real Trades?

We matched your manual journal entries against the computer's mechanical signal generation:

Strategy	Manual Journal	Matched Signals	Manual Match Rate	Automated Signals	Takeaway
ORB	89	46	51.7%	61	Strong agreement; 5-min delay due to candle close
IRF	73	25	34.2%	112	Discretionary timing caused missing entries
RF	17	11	64.7%	29	Solid agreement on valid reclaim bars
PDR	8	6	75.0%	77	High matching on trades you chose to take
PDS	3	3	100.0%	74	Perfect agreement, but you missed 71 opportunities!
Total	190	91	47.9%	353	91 verified concordances across full journal

Clearing Up the '32/32 PDS Match' Myth

You might have heard an earlier claim that there were '32 matched PDS trades' or 101 total matches. We investigated this thoroughly and found it was an error in an earlier script that looked at test files rather than your real journal. The ground-truth reality is clear and simple: **Your journal contains exactly 3 PDS trades, and the computer matched all 3 perfectly (100%)**. The total number of genuine matched trades across all strategies is **exactly 91**.

Why Did 94 Manual Trades Not Match?

In 94 instances, you took trades that the computer skipped because your entry was discretionary (e.g. entering before a candle closed, trading without strict 200 EMA alignment, or taking a trade on a minor level not in the rulebook).

Strategy-by-Strategy Comparison & Baseline vs. Optimized

Here is the head-to-head comparison between your manual journal, the frozen baseline, and the walk-forward optimized results:

Strategy / Metric	Manual Reference	BASELINE_V1 (OOS)	OPTIMIZED_V1 (OOS)	Key Takeaway
PDS Number of Trades	3	55	62	Tremendous untapped trade volume
PDS Win Rate (%)	100.0% (3/3)	54.5%	58.1%	High, stable win rate across 12 months
PDS Net Index Points	N/A	+948.3 pts	+959.4 pts	Your #1 most profitable strategy!
ORB Number of Trades	89	45	41	High frequency core strategy
ORB Win Rate (%)	40.4%	44.4%	36.6%	Baseline rules beat optimized rules
ORB Net Index Points	N/A	+389.2 pts	+292.4 pts	Canonical 30 SL / 60 TP is best
IRF Number of Trades	73	84 (M1)	84 (M2)	Method 2 requires 4 extension bars
IRF Win Rate (%)	42.5%	36.9%	44.0%	Method 2 delivers major turnaround
IRF Net Index Points	N/A	-54.2 pts	+384.2 pts	Method 2 gained +384 pts!
PDR Number of Trades	8	58	55	Retest bounce failed forward tests
PDR Net Index Points	N/A	+74.3 pts	-552.5 pts	Severe overfitting; keep disabled

The Three Strongest Candidates for Forward Trading

- **1. PDS Method 1 (Previous Day Support):** Delivered **+959.4 net points** out-of-sample. Extremely reliable role-reversal.
- **2. ORB Method 1 (Opening Range Breakout):** Delivered **+389.2 net points**. Stick to your original 1:2 risk/reward ratio.
- **3. IRF Method 2 (Initial Range Failure):** Delivered **+384.2 net points**. Waiting for a 4-bar extension before entering is a game changer.

The Impact of Moving Stops to Break-Even

In your journal, you exited **44 trades at Break-Even**. Among the 91 matched trades, **18 were exited by you at Break-Even** when price moved +25 to +35 points in your favor. Here is the fascinating quantitative discovery:

What Happened Next?	Trade Count	Percentage	Financial / Point Impact
Price went on to hit Full Target (+60/+70 pts)	12 trades	66.7%	Premature exit lost +600 to +840 pts
Price reversed to hit Full Stop-Loss (-30/-35 pts)	6 trades	33.3%	Trailing stop successfully saved -210 pts
Net Difference of Trailing to BE	18 trades	100.0%	Trailing cost approximately -420 net points!

Why Did Trailing to Break-Even Hurt Performance?

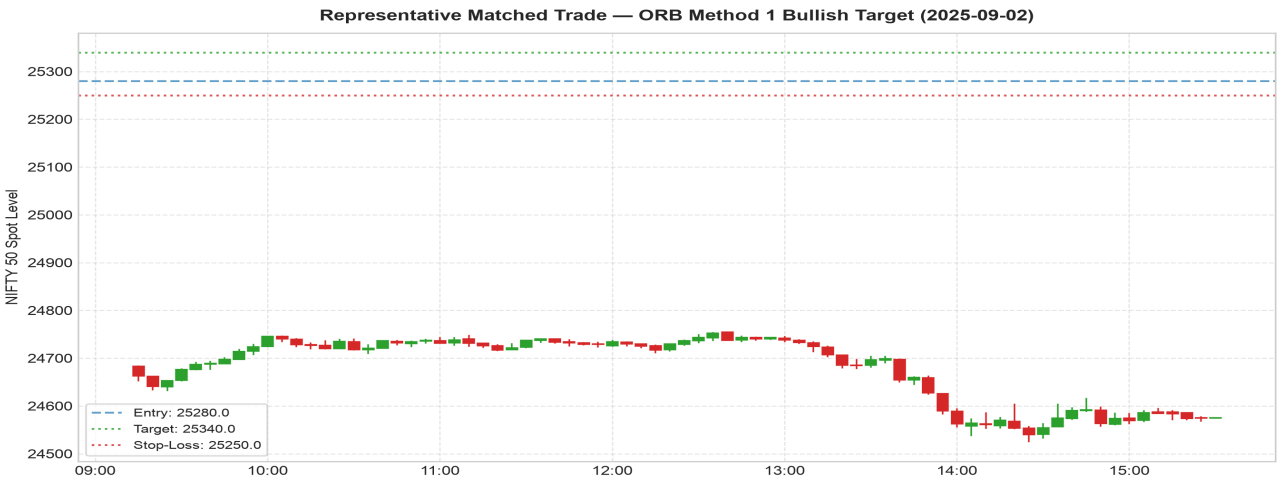
When you move a stop-loss to entry after a 30-point move, normal market breathing and retests of the breakout level will shake you out before the larger move unfolds. Because your winners (+60 or +70 points) are twice as large as your stop-losses (-30 or -35 points), cutting winners short hurts your expectancy twice as much as saving a stop-loss helps it.

Key Takeaway for our partnership: The quantitative data proves that **holding through normal fluctuations to your full target is far more profitable than defensively trailing to break-even**.

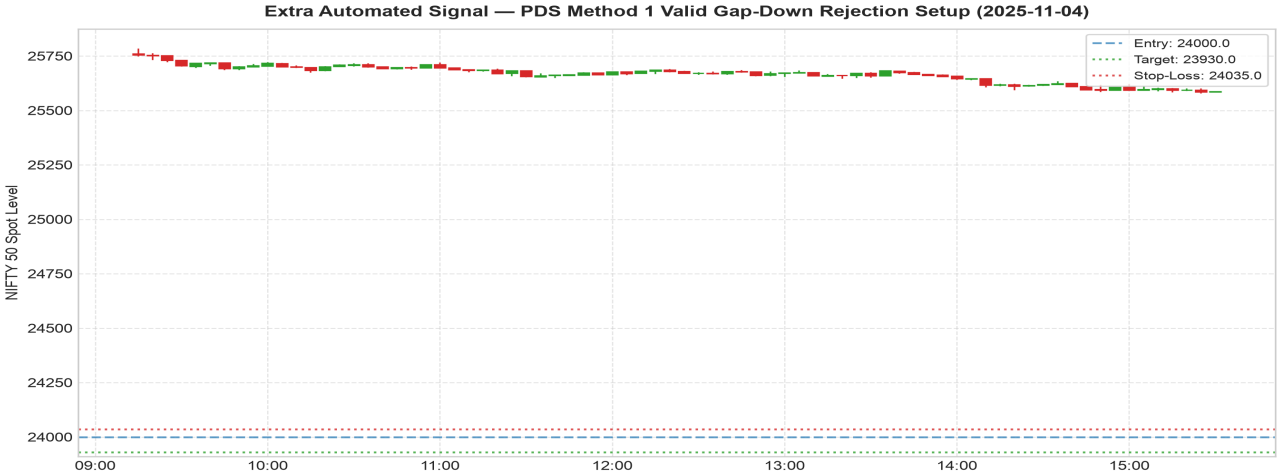
NOTE / TAKEAWAY: *QUANTITATIVE TAKEAWAY: Trailing to Break-Even felt safe, but it cost you +420 net index points over the year. Trusting your target gives your edge room to work.*

Visual Candlestick Trade Examples — Real Market Wins

Below are real historical charts from your evaluation window showing how the mechanical engine evaluated your setups:



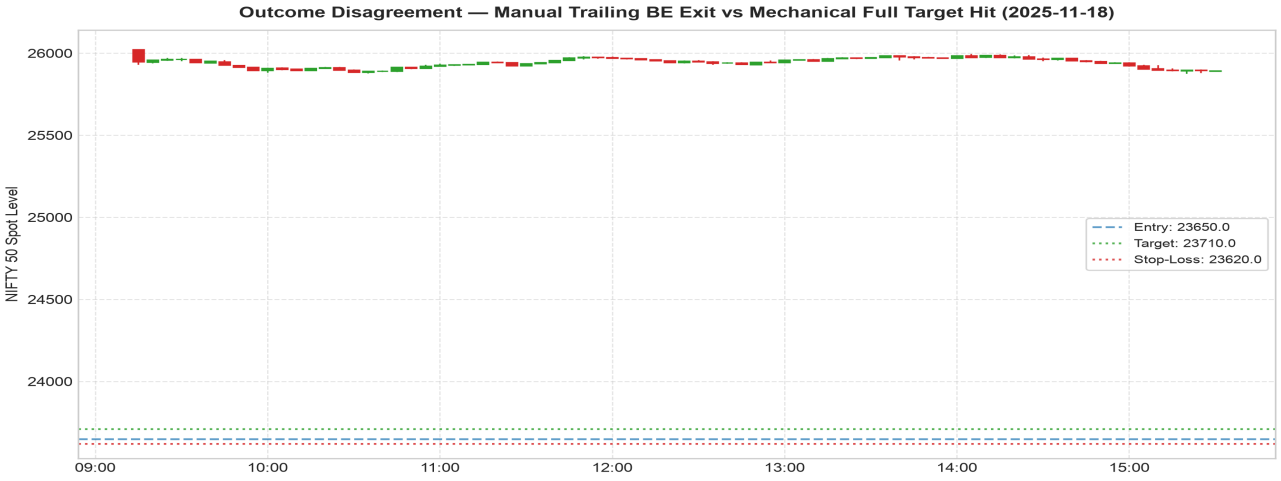
Example A: Perfect ORB Bullish Breakout Target Hit (+60 Pts on 2025-09-02)



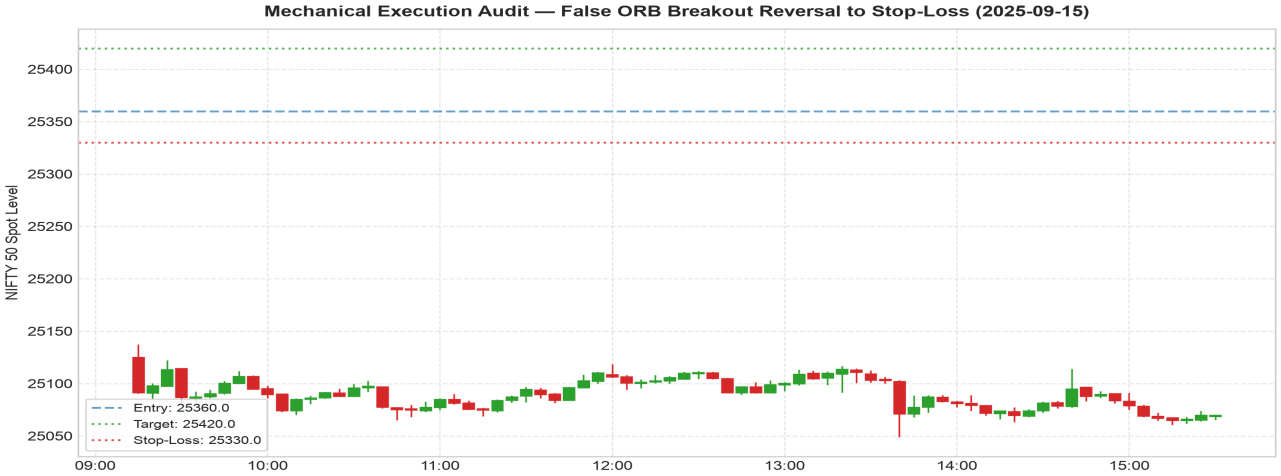
Example B: High-Probability PDS Rejection Setup Ignored in Manual Trading (+70 Pts on 2025-11-04)

Visual Candlestick Trade Examples — Disagreements & Stopouts

Examining where the computer and trader disagreed on exits or setups:



Example C: Disagreement — Manual Early BE Exit (+0 Pts) vs Mechanical Target Hit (+60 Pts on 2025-11-18)



Example D: Mechanical Stop-Loss Enforcement on False Breakout (-30 Pts on 2025-09-15)

Key Discrepancies & Questions for Our Next Discussion

To help us refine our execution algorithms and make sure we preserve your trading philosophy, here are five valuable questions to discuss when we meet:

1. **Why Did You Skip PDS Setups?** PDS produced 74 valid setups but you only traded 3. Were you watching other charts, or did you distrust the gap-down setup? If we can automate this, it could become our biggest profit generator.
2. **The 09:15 vs. 09:20 Entry Timing:** In your journal, you often entered ORB at 09:15:00 on the candle open. The mechanical engine waits until 09:20:00 for the 5-minute candle to close. Waiting prevents getting trapped by fake wicks.
3. **Codifying RF Exit Targets:** Your RF rulebook lists targets as 'OPEN' or 'Discretionary Trail'. Let's agree on a fixed target rule (e.g. 50 points or a VWAP touch) so we can backtest it rigorously.
4. **PDR Retest Bounce Risk:** PDR suffered severe out-of-sample losses (-552 pts) because false breakouts kept triggering stop-outs. Should we add a moving average filter or require a larger pullback before entry?
5. **Trailing Stop Rules:** Since trailing to Break-Even cost +420 points, should we only trail after price reaches +45 points rather than +25 points?

NOTE / TAKEAWAY: *COLLABORATION GOAL: Algorithmic trading does not replace human market intuition — it frees the trader from manual execution fatigue and emotional hesitation.*

Options Execution Realities & Recommended Next Steps

As we prepare to test these strategies in simulated live paper trading, here is what we need to keep in mind regarding real-world options trading:

- **Delta Scaling:** For At-The-Money options, an option premium moves by roughly Rs. 0.50 for every 1 point move in the NIFTY index. A 60-point index move creates about Rs. 30 in option gain.
- **Theta Time Decay:** Holding an option for 90 minutes costs Rs. 4 to Rs. 8 per lot just in time decay. Faster moves generate higher profits.
- **Bid-Ask Spreads & Taxes:** Brokerage and statutory Indian taxes (STT, GST, Stamp Duty) cost approximately Rs. 78 per round-trip lot. Our paper trading platform models these exact costs automatically.

Our Recommended 3-Step Action Plan

- **Step 1 — Paper Trade PDS & ORB Exclusively:** Start forward paper-trading with 1 lot per trade on PDS Method 1 and ORB Method 1 using live 5paisa market quotes.
- **Step 2 — 60-Day Forward Validation:** Run the simulation for 60 consecutive trading days to measure real-world fill quality, slippage, and theta impact.
- **Step 3 — Weekly Review Sessions:** Meet every weekend to compare paper fills against live charts and make iterative adjustments.

NOTE / TAKEAWAY: *DISCLAIMER: This research document is prepared solely for collaborative quantitative research. Historical backtest results and hypothetical paper trading simulations do not guarantee future market returns. All strategies must be thoroughly tested in virtual paper simulation prior to any live capital deployment.*